

ECON 212 — Principles of Microeconomics

Handout: Price Ceilings and Price Floors

Fall 2026

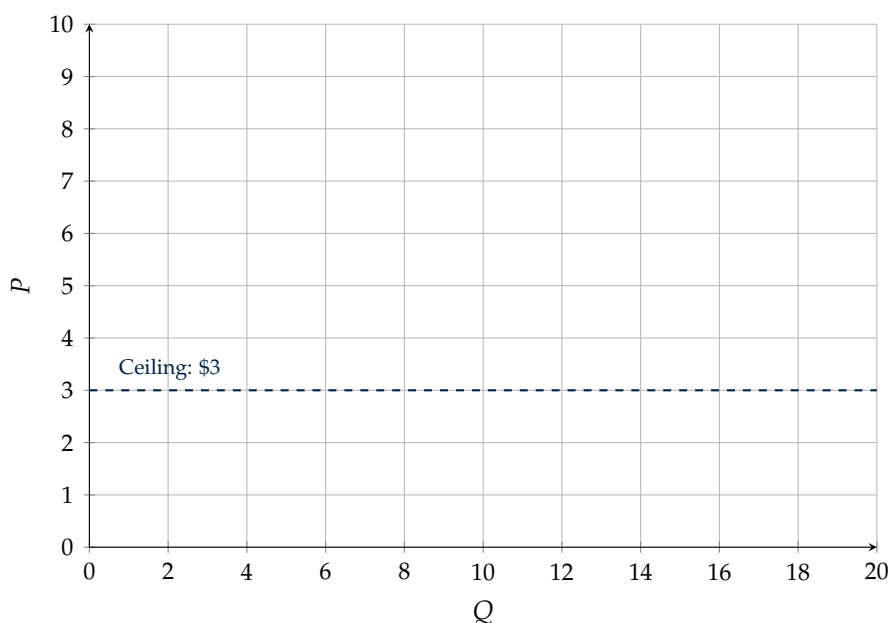
For each market below, plot Q_S and Q_D on the axes given, then evaluate the price control.

Problem 1. Price Ceiling

$$Q_S = 2P$$

$$Q_D = 20 - 2P$$

A price ceiling of \$3 is imposed.



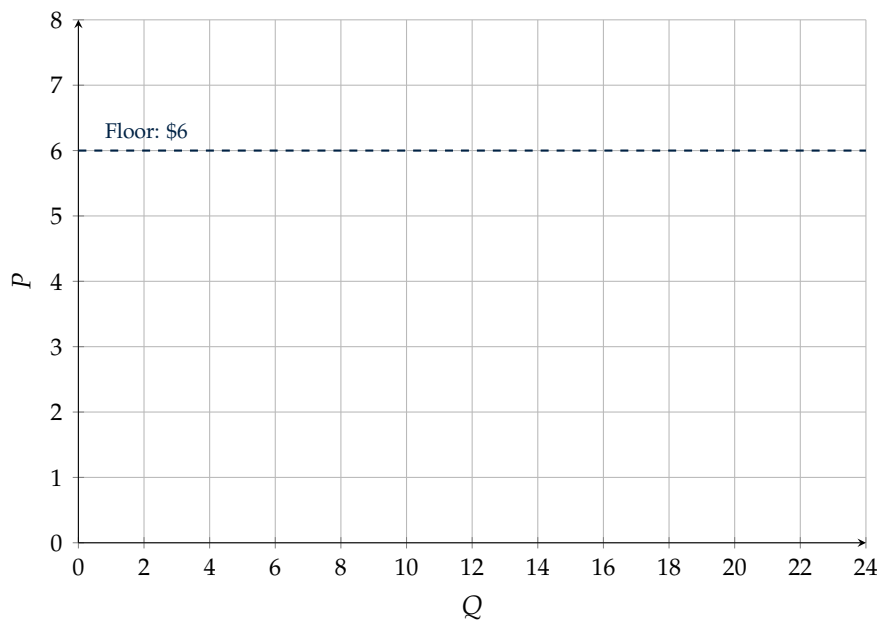
- (a) Plot Q_S and Q_D on the axes above. Label the equilibrium price and quantity.
- (b) At the ceiling price, find Q_S and Q_D . State whether the market has a shortage or a surplus, and its size.

Problem 2. Price Floor

$$Q_S = 3P$$

$$Q_D = 24 - 3P$$

A price floor of \$6 is imposed.



- (a) Plot Q_S and Q_D on the axes above. Label the equilibrium price and quantity.
- (b) At the floor price, find Q_S and Q_D . State whether the market has a shortage or a surplus, and its size.